

Sequestered Debts: Virginia, the British Merchant Debts, and the Reputation of the New Republic

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Abstract

During the War of Independence Virginia sequestered the debts its citizens owed to British merchants and let those debtors extinguish sterling obligations by paying depreciated paper into the state loan office at par—a windfall for the most heavily indebted planters in America. The Treaty of Paris (1783) promised British creditors “no lawful impediment” to recovering the full sterling value of such debts, but the states obstructed it, and the debt question became entangled in a decade-long mutual-breach standoff over the British-held frontier posts and the enslaved people carried away at the war’s end. The Supreme Court resolved the legal question in *Ware v. Hylton* (1796), holding that the treaty, as supreme federal law, annulled the Virginia statute—the Court’s first assertion of treaty supremacy over state law, and John Marshall’s only (losing) appearance as an advocate. Practical recovery nonetheless required a political settlement: the Jay Treaty’s debt commission (1797–1799) deadlocked, and the Convention of 1802 discharged the matter by a federal lump-sum payment of £600,000. Honoring these debts, alongside Hamilton’s funding and the full servicing of the Dutch and French loans, helped establish the young republic’s reputation as a sovereign that paid—reassuring European creditors and lowering its cost of capital. Virginia’s device was the archetype but not unique: North Carolina, Maryland, and Georgia adopted variants, concentrated in the tobacco Chesapeake and lower South where the British mercantile debt was largest.

1 Introduction

This memorandum assembles, with sources, an episode that bears directly on the reputational themes of our larger project: how the United States came to honor—after resisting—the private debts its citizens owed to British merchants, and what that resolution signaled to the

*Background memorandum prepared with Claude for the authors’ fiscal-history project. Claims marked [PRIMARY] in the accompanying `virginia.british.debts.bib` were checked against primary texts—the statute as quoted in *Ware v. Hylton*, the treaty and convention texts on the Avalon Project, and the U.S. Reports. Several figures could not be independently verified; they are collected in the caveats of Section 8.

country's other creditors. The story runs from a Virginia wartime statute of 1777, through the Treaty of Paris and a constitutional crisis over treaty compliance, to a landmark Supreme Court decision and, finally, a cash settlement in 1802. It is at once a debtor-relief story, a constitutional story about the supremacy of federal treaties, and a public-credit story about the value of a reputation for paying.

2 Virginia's Sequestration of British Debts, 1777–1780

At its October 1777 session the Virginia General Assembly passed “An act for sequestering British property, enabling those indebted to British subjects to pay off such debts” (Hening, 1821, 9:377–380). The bill was drafted by Thomas Jefferson; because the session sat into the new year, the literature dates it variously to October 1777 and January 1778—the same act.

The mechanism deserves precise statement, because it differs slightly from “buying state bonds at a discount.” Under the act's third section—quoted verbatim in *Ware v. Hylton*—any Virginian owing money to a British subject could pay the sum into the state *loan office*, take out a loan-office certificate in the creditor's name, and deliver it to the Governor and Council, whose receipt “shall discharge him from so much of the debt” (Supreme Court of the United States, 1796; Hening, 1821). The instrument the debtor received was thus a Virginia loan-office certificate—a state obligation, or “state bond,” issued in the British creditor's name—and the Commonwealth interposed itself between debtor and creditor. Notably, the statute said nothing about whether Virginia was itself obliged to pay the British creditor.

The discount lay in the currency. Debtors paid in depreciating Virginia and Continental paper, credited at face (par) value against debts contracted in sterling “good British money.” Because that paper was collapsing—and because the paper and the certificates themselves traded far below face—a planter could retire a hard-money sterling obligation for a small fraction of its real value, the economic equivalent of buying the medium of payment at a deep discount and tendering it at par. The case record supplies a vivid illustration: the Hyltons' bond to the Bristol firm Farell & Jones, dated 7 July 1774, was for £2,976 11s. 6d. sterling; on 26 April 1780 the debtors paid £933 14s. in Virginia currency (\$3,111 $\frac{1}{9}$) into the loan office—a nominally smaller sum that, in specie terms at that stage of the depreciation, was worth only a sliver of the sterling debt (Supreme Court of the United States, 1796). The pay-in privilege was repealed in May 1780 as the currency disintegrated.

The stakes were largest in Virginia because Chesapeake tobacco planters were the most indebted colonists in America. Of roughly £5 million owed by the thirteen colonies to British merchants on the eve of the Revolution, Virginia's share was about £2.3 million—Jefferson reckoned Virginians owed “over £2 million” in 1774, perhaps half of all American private indebtedness, most of it retail store credit to Glasgow and English firms (Adamson, 2003; Evans, 1962, 1971). That the debt was so widely distributed among planters made it politically explosive (Holton, 1999; Sloan, 1995).

3 The Treaty of Peace and the Debt Question, 1783

The Definitive Treaty of Peace (Paris, 3 September 1783) confronted these state laws head-on. *Article 4* provided (United States and Great Britain, 1783):

It is agreed that creditors on either side shall meet with no lawful impediment to the recovery of the full value in sterling money of all bona fide debts heretofore contracted.

The single sentence repudiated the state debtor-relief statutes: it promised British creditors the *full sterling value*, notwithstanding any law that had let debtors discharge such debts in depreciated paper. Two neighboring articles rounded it out. *Article 5* had Congress only “earnestly recommend” to the states the restitution of confiscated Loyalist estates—a recommendation Congress was powerless to compel—and *Article 6* barred future confiscations and prosecutions for wartime conduct (United States and Great Britain, 1783).

The promise then dissolved into a mutual-breach standoff that lasted a decade. The states—Virginia foremost—kept their obstructing laws and effectively closed their courts to British creditors; Britain in turn refused to evacuate the Northwest frontier posts (Detroit, Niagara, and others) required by Article 7, and at the 1783 evacuation of New York, Sir Guy Carleton allowed roughly 3,000 formerly enslaved people (recorded in the “Book of Negroes”) to be carried away, which Southern planters demanded compensation for as its own violation of Article 7 (Ritcheson, 1969). Each side blamed the other for the first breach. Secretary for Foreign Affairs John Jay, reporting to Congress on 13 October 1786, concluded that the American *states* had breached first through their debt and confiscation laws (Jay, 1786); on his recommendation Congress resolved (21 March 1787) that treaties are “the supreme law of the land” binding on the states and that all repugnant state acts “ought to be forthwith repealed” (United States in Congress Assembled, 1787). The episode is a documented motive for the Constitution’s Supremacy Clause and treaty power (Edling, 2003). In Virginia, Patrick Henry led the resistance, and even after 1787 the Assembly agreed only to open its courts *conditionally*—on British evacuation of the posts and compensation for the enslaved people carried away—so recovery remained blocked (Madison, 1784; Encyclopedia Virginia, 2021).

4 The Supreme Court and Treaty Supremacy

4.1 Ware v. Hylton (1796)

The legal question was settled in *Ware v. Hylton*, 3 U.S. (3 Dall.) 199 (1796)—“the British Debt Case.” Ware, administrator of the estate of William Jones (surviving partner of Farell & Jones of Bristol), sued the Virginia debtors Daniel Hylton & Co. and Francis Eppes on the 1774 bond; the debtors pleaded the £933 they had paid into the loan office as a discharge. The Court held that Article 4 of the 1783 treaty, as the supreme law of the land under Article VI, overrode and nullified the Virginia sequestration statute, so that the loan-office payment did *not* discharge the debt and the creditor could recover in full with interest (Supreme Court of the United States, 1796).

The Justices delivered opinions seriatim. Samuel Chase wrote the leading one: conceding that Virginia had sovereign power in 1777 to sequester enemy debts, he held that the treaty annulled the law’s effect and revived the creditor’s right, state law being “prostrate” before a federal treaty. Paterson, Wilson, and Cushing concurred in the result; Iredell alone reasoned for the debtors, consistent with the ruling he had given below on circuit (his position is best

described substantively rather than as a formal dissent). Two features have lasted: John Marshall argued for the debtors—his only appearance as an advocate before the Supreme Court, and he lost—five years before he became Chief Justice; and the decision was the Court’s first assertion of treaty supremacy over conflicting state law, an exercise of judicial review that preceded *Marbury v. Madison* by seven years (Supreme Court of the United States, 1796; Hobson, 1996; Currie, 1985; Goebel, 1971).

4.2 The related cases

Ware had a circuit-court precursor, *Jones v. Walker* (C.C.D. Va. 1791), in which Patrick Henry argued for the debtor before Justice Iredell but which was left undecided (U.S. Circuit Court, District of Virginia, 1791; Hobson, ed, 1987). And *Georgia v. Brailsford* (1792–1794) tested Georgia’s sequestration of a British debt; its 1794 phase is famous as the only jury trial ever held by the Supreme Court, and the Court held that sequestration merely *suspended* recovery during the war rather than extinguishing it, so that peace revived the creditor’s right (Supreme Court of the United States, 1794). (A biographical thread worth noting: Farrell & Jones were also the creditors of John Wayles, Jefferson’s father-in-law, so Jefferson himself was among the Virginians entangled in these debts.)

5 The Political Settlement, 1794–1802

Ware established the creditors’ legal right, but recovery through hostile local juries remained so uncertain that the matter was resolved politically. Article 6 of the Jay Treaty (19 November 1794) created a five-member commission (two British, two American, and a fifth—John Guillemard, a British subject—chosen by lot) under which the United States promised “full and complete compensation” for pre-war debts that lawful impediments had made unrecoverable, excluding losses due to debtor insolvency (United States and Great Britain, 1794). The commission met in Philadelphia from May 1797 but broke down in July 1799, the American commissioners withdrawing over an effectively 3–2 British-aligned majority on questions of jurisdiction, wartime interest, and debtor solvency (Bemis, 1923; Ritcheson, 1969).

The deadlock was cut by the Convention of 8 January 1802 (Rufus King and Lord Hawkesbury), under which the United States agreed to pay Britain a lump sum of £600,000 sterling (about \$2.66 million), in three annual installments of £200,000, expressly “cancelling and annulling” Jay Treaty Article 6 (United States and Great Britain, 1802). Britain then distributed the money through its own commission, which sat until 1811 and approved only a fraction of the claims presented.

6 Reputation and Relations with Other Creditors

The reputational payoff is the point that connects this episode to public credit. By enforcing the treaty in *Ware* and then paying the £600,000 rather than repudiating, the federal government signaled a sovereign that would honor both its debts and its treaty obligations. Combined with Hamilton’s funding and assumption of 1790 and the full servicing and re-financing of the Dutch and French loans, it helped give the young United States, within

a few years, essentially the highest credit rating in the world (Sylla, 2011; Edling, 2014). That reputation reassured the Amsterdam bankers holding U.S. paper—many of whom had bought at deep discount and were now repaid in full—and the French; it lowered borrowing costs and underwrote cheap access to European capital markets, through to the London-and-Amsterdam financing of the Louisiana Purchase in 1803 (U.S. Department of State, Office of the Historian, 2017; Sylla, 2011). Honoring the British merchant debts was, in effect, the outward-facing counterpart to Hamilton’s domestic funding: both were investments in a reputation for paying.

7 Were Other States Doing the Same Thing?

Virginia was the archetype but not unique. *Ware v. Hylton* itself records that “in several other states, laws had been passed authorising a discharge of British debts in paper money, or by a tender of property,” and the standard reference notes that “all of the newly declared states enacted laws that impaired the position of creditors” (Supreme Court of the United States, 1796; Adamson, 2003). It helps to distinguish three mechanisms, summarized in Table 1: (a) the debtor pays the British debt into the state and is discharged in depreciated paper (the Virginia model); (b) outright confiscation of the debt as enemy property; and (c) mere suspension of recovery or closure of the courts.

Table 1: State treatment of debts owed to British merchants, 1776–1783

State		Mechanism	Description
Virginia		(a) pay-in	1777 act: debtor pays depreciated paper into the loan office at par, takes a certificate in the creditor’s name, and is discharged; repealed 1780
North Carolina	Car-	(a)/(b) hybrid	1777 act: debtor owing sterling to a confiscated person pays £175 N.C. currency per £100 sterling into the state treasury
Maryland		(b) estates; (a) in practice	1780 act confiscated Loyalist <i>estates</i> (British debts exempted by the Senate), yet an official 1781 “black list” records debtors who paid depreciated currency into the treasury on British debts
Georgia		(c) suspension	Sequestered British debts, barring recovery by suit during the war; peace and the treaty revived the right (<i>Georgia v. Brailsford</i>)
South Carolina	Car-	(b) estates	Confiscation and amercement of Loyalist estates (1782); a debtor pay-in is not documented
New York, Pennsylvania, etc.	York,	(b) estates	Widespread confiscation of Loyalist <i>estates</i> (e.g. New York’s Forfeiture and Trespass Acts), but not the British-merchant-debt pay-in

The pattern is regional and follows the money: the discharge-by-pay-in device clustered in the tobacco Chesapeake and lower South, precisely where the British mercantile debt was concentrated—Virginia alone owed roughly £2.3 million of the £5 million total (Adamson,

2003; Kellock, 1974). It was this thicket of state laws—several allowing paper discharge, more merely obstructing recovery—that Article 4 of the Treaty of Paris, then *Ware v. Hylton*, then the Jay Treaty commission, and finally the £600,000 settlement of 1802 were successively deployed to override.

8 Caveats and Verification Notes

Several specifics in this memorandum rest on secondary or reference sources and should be confirmed against primary materials before they are woven into the book:

- **The aggregate paid into the Virginia loan office.** A total of roughly £273,000 is sometimes cited, but we could not verify it from an accessible source; it is most likely drawn from Evans (1971, 349–360) and should be checked there. The single-case figures (the £2,976 bond and the £933 payment) are from the *Ware* record and are secure.
- **The Maryland pay-in.** That Maryland let debtors discharge British debts in depreciated paper is supported by *Ware*’s “several other states” language and by the 1781 “black list” controversy, but the exact statute, its terms, and whether the pay-in was mandatory are not confirmed; note also that the Maryland Senate exempted British debts from the 1780 confiscation act, so Maryland’s treatment was more tangled than Virginia’s. Verify in the *Archives of Maryland*.
- **The plaintiff’s full name.** The reports caption the plaintiff simply “Ware, Administrator of Jones.” The administrator is commonly given as “John Tyndale Ware,” but we did not confirm the full name from a primary source.
- **Spelling of the creditor firm.** The Bristol house appears as both “Farell & Jones” and “Farrell & Jones”; Founders Online uses “Farell.”
- **Iredell’s posture in *Ware*.** Iredell had favored the debtors on circuit and his Supreme Court opinion reprised that view; whether to label it a “dissent” varies among sources, so we describe it substantively.
- **Number of obstructing states.** Sources say “all” the states impaired creditors in some way and “several” allowed the paper discharge specifically; no reliable source gives a precise count.
- **Monograph page numbers.** Specific pages in Bemis, Ritcheson, Sloan, and Edling for the £600,000 settlement and the reputational argument were not pinned to the physical volumes and should be checked before quotation.

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- , “Treaty of Amity, Commerce and Navigation (Jay Treaty),” Signed at London, 19 November 1794. The Avalon Project, Yale Law School 1794. [PRIMARY] Art. 6 establishes a five-member debt-claims commission and pledges “full and complete Compensation” for pre-war British debts unrecoverable through lawful impediments; excludes losses from debtor insolvency.
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